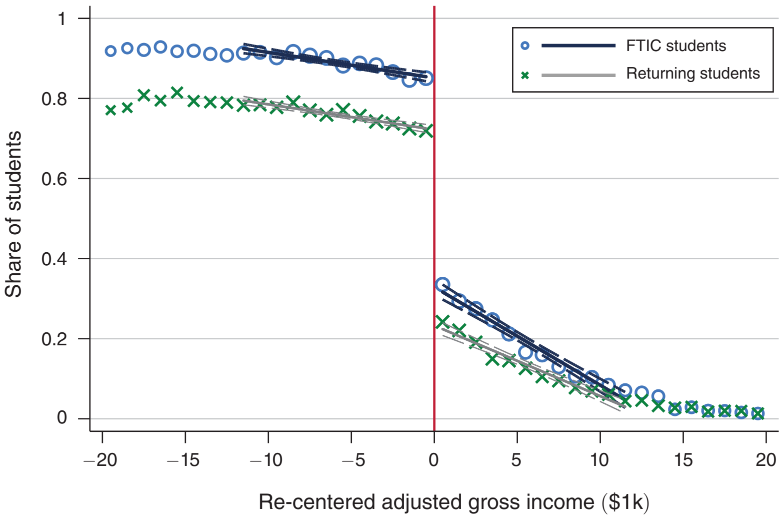

FIGURE 2. SHARE OF FOUR-YEAR STUDENTS WITH $0 EFC BY DISTANCE TO THE AUTOMATIC ZERO EFC THRESHOLD

Notes: The figure shows first-time-in-college and returning dependent undergraduate students who enrolled in a four-year Texas public institution in 2008 through 2011 and whose family AGI fell within $20,000 of the income eligibility threshold for an automatic zero EFC. Students with AGIs at multiples of $1,000 are excluded. Each marker represents the average percentage of students with a $0 EFC in the $1,000 AGI bin. Larger circles represent a larger underlying sample size. Solid dark lines represent estimates from a local linear regression of the share of students with an EFC = $0 on $\widetilde{AGI}$, estimated separately by eligibility, and weighted by the number of students in the bin. Dashed light lines represent corresponding 95 percent confidence intervals.

(panel E), while the level of student loans decreases discontinuously (panel F). While the relationship between eligibility and Pell Grant aid is purely mechanical, the relationships in panels C, D, and E of Figure 3 may involve both mechanical effects due to state policies and the endogenous response of institutions to changes in a given student's EFC and financial aid package, and the relationship in panel F is generated by endogenous responses of students.

IV. Empirical Results

We preview our key findings with graphical evidence of the reduced-form relationship between $\widetilde{AGI}$ and student outcomes for FTIC students. Corresponding figures for returning students—which display similar contemporaneous effects and smaller long-run effects—are included as noted in online Appendix B. Eligibility for an automatic zero EFC at entry has only negligible effects on credit hours attempted, GPA, earnings, or the probability of re-enrollment in the following year (Figure 4 and online Appendix Figure B.3).

Over the longer run, eligibility increases the probability of graduation for FTIC students starting four years after entry (Figure 5). Increases in graduation rates persist for the duration of our panel, up to 7 years after college entry. Likewise, eligibility appears to generate earnings increases for FTIC students four years after entry, and these gains persist for the remainder of our panel (Figure 6). In contrast, eligibility does not appear to increase graduation rates or earnings of returning students (online Appendix Figures B.4 and B.5).